9.	The equality between saving and investment is advanced through changes in income.	The equality between saving and investment is achieved through changes of rate of interest.
10.	Rate of interest is determined by the demand for and supply of money.	Rate of interest is determined by saving and investment.
11.	Rate of interest is a flow.	Rate of interest is a stock.
12.	Demand creates its own supply.	Supply creates its own demand.
13.	Rate of interest is a reward for parting with liquidity.	Rate of interest is a reward for saving.

After learning so much about the theories of employment and income, it is pertinent to look at what is employment multiplier.

Summary

Keynes challenged the classical economic theory regarding the merits of state intervention in markets and led to widespread shift in both economic theory and government policies worldwide in the post World War II period.

Glossary

- **Full employment** : Persons who are willing to work and able to work must have employment or a job
- **Unemployment** : when there are people, who are willing to work and able to work but cannot find suitable jobs.
- **Disguised unemployment** : It is found in which when more people are doing work than actually required.
- **Under employment** : Resources (eg. Labour) are not fully utilized in production
- **Effective demand** : The amount of money which entrepreneurs expect to get by the output product.
- **Aggregate demand** : The amount that households, firms, the governments and the foreign purchasers would like to spend on domestic output.
- **Aggregate supply** : The value of total output of goods and services produced in an economy in a year.
- **Marginal Propensity to Consume** : The additional consumption due to an additional unit of income.
- **Marginal Efficiency of Capital** : The expected rate of return over costs of a new capital good.
- **Money supply** : The total stock of money circulating in an economy.

12-Economics-Chapter_3.indd 47 2/6/2020 11:47:45 AM